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Course: Management Information System

Question:

What are some of the issues to consider in determining whether the Internet would provide your business with a competitive advantage?

You need to write the source/ reference.

Key Issues in Determining Internet Competitive Advantage

1. Sustainability: Is it a "Moat" or just a Tool?

One of the biggest issues is whether your internet strategy can be easily copied. If you launch a basic e-commerce site, your competitors can do the same within days. To have an advantage, the internet must help you create a "moat"—something unique like a proprietary algorithm, a superior user experience, or a massive network of users that is hard for others to replicate.

2. Cost Structure vs. Value Creation

The internet can dramatically lower costs (e.g., no physical storefronts), but it can also trigger a "race to the bottom" on pricing because customers can compare prices instantly. You must consider: Does the internet help you reduce operational costs, or does it force you to lower your prices so much that your profit margins disappear?

3. Disintermediation (Cutting the Middleman)

Can the internet allow you to reach your customers directly? For many businesses, the competitive advantage comes from removing distributors or retailers and selling "Direct-to-Consumer" (DTC). This allows you to own the customer relationship and collect valuable data that competitors don't have.

4. The "Network Effect"

Does your use of the internet become more valuable as more people use it? (Think of platforms like eBay or Airbnb). If the internet allows you to build a community where every new user adds value for existing users, you have a powerful competitive advantage that is very difficult for latecomers to break.

5. Data as a Strategic Asset

The internet is a firehose of data. The issue is not just *having* the internet, but whether you have the analytical capability to use that data. Can you use browsing history to personalize offers? Can you predict when a customer is about to leave and intervene? If you can turn raw internet data into "business intelligence," you have a distinct edge.

6. Global Reach vs. Local Competition

The internet expands your market to the whole world, but it also brings the whole world to your doorstep as competitors. You must consider whether your business model can survive global competition or if the internet allows you to dominate a "niche" market that was previously too small to be profitable offline.

Conclusion: The Strategic Mindset

Ultimately, the internet provides a competitive advantage only when it is integrated into a unique business strategy. As management expert Michael Porter famously argued, the internet often makes industries *more* competitive and *less* profitable by making everything transparent. The winners are those who use the internet to strengthen their unique value proposition, not those who use it to look exactly like everyone else.

Reference / Source

To support your assignment, you can cite these primary academic sources:

1. **Porter, M. E. (2001).** "Strategy and the Internet." *Harvard Business Review*. (This is the most famous article on this topic. Porter argues that the internet is often used incorrectly as a reason to abandon traditional strategy).
2. **Carr, N. G. (2003).** "IT Doesn't Matter." *Harvard Business Review*. (Carr discusses how technology becomes a commodity, and advantage comes from how you manage risks and costs, not just from the tech itself).
3. **Laudon, K. C., & Laudon, J. P. (2021).** *Management Information Systems: Managing the Digital Firm*. Pearson. (Chapters on "Information Systems, Organizations, and Strategy" cover how the internet affects the Five Forces model).